📚 Tax Intelligence Documentation: India (FY 2025–26)

Target Users: Small Business Owners, Freelancers, Startups, and Shopkeepers.

Legal Period: 1st April 2025 to 31st March 2026.

Default Regime: New Tax Regime (Section 115BAC).

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1. Core Definitions (Entity Mapping)

Term	Definition for RAG Context
Financial Year (FY)	The year money is earned (2025–26).
Assessment Year (AY)	The year money is reported (2026–27).
Individual Taxpayer	Includes shopkeepers (sole proprietors), freelancers, and startup founders (if not a Pvt Ltd).
Section 87A Rebate	A tax credit that makes tax zero for income up to a certain limit.

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2. Income Tax Slabs (New Regime - Default)

Note: These apply to total income after business expenses.

- **₹0 – ₹4,00,000:** 0% (Nil)
- **₹4,00,001 – ₹8,00,000:** 5%
- **₹8,00,001 – ₹12,00,000:** 10%
- **₹12,00,001 – ₹16,00,000:** 15%
- **₹16,00,001 – ₹20,00,000:** 20%
- **₹20,00,001 – ₹24,00,000:** 25%
- **Above ₹24,00,000:** 30%

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3. The "Zero Tax" Logic (Critical for RAG Queries)

For the agent to answer "How much tax do I pay?", it must follow this logic:

1. **Check Residency:** Only "Resident Individuals" get the full rebate.
2. **Check Income Limit:**
    - **Condition A:** If Net Taxable Income $\le$ **₹12,00,000**, the **Rebate is ₹60,000**. Total Tax = **₹0**.
    - **Condition B (Salaried):** If Salaried, a **Standard Deduction of ₹75,000** is added. Total Tax-Free Income = **₹12,75,000**.
3. **Check Marginal Relief:** If income is slightly over ₹12,00,000 (up to approx. ₹12.75 Lakh), the tax is limited to the amount earned above ₹12 Lakh.
    - *Example:* If income is ₹12,10,000, tax is capped at ₹10,000 (instead of ₹61,500).

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4. Simplified Schemes (Presumptive Taxation)

This is for people who don't maintain complex books.

A. Small Businesses (Section 44AD)

- **Applicability:** Shopkeepers, Traders, Retailers.
- **Max Sales Limit:** ₹2 Crore (increased to **₹3 Crore** if 95% of receipts are digital).
- **Presumed Profit:** * **8%** of total turnover (for cash sales).
    - **6%** of total turnover (for digital/UPI/Bank sales).

B. Freelancers & Professionals (Section 44ADA)

- **Applicability:** IT Consultants, Artists, Designers, Doctors, Engineers.
- **Max Receipts Limit:** ₹50 Lakh (increased to **₹75 Lakh** if 95% of receipts are digital).
- **Presumed Profit: 50%** of total gross receipts.

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5. Filing & Compliance Metadata

For the agent to help with "What do I do next?", use these parameters:

- **Form to use: ITR-4 (Sugam)** for presumptive taxpayers; **ITR-3** for complex businesses.
- **Standard Deadline: August 31, 2026** (for non-audit cases).
- **Mandatory Requirements:**
    - Valid 12-digit **Aadhaar** linked to PAN.
    - Pre-validated bank account for refunds.
    - Verification via Aadhaar OTP (e-Verification).

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6. Prohibited / Out-of-Scope (Negative Constraints)

The agent should warn users that these benefits do **NOT** apply if:

- They are **Directors** in a company (Must use ITR-3).
- They hold **Unlisted Equity Shares**.
- They have **Foreign Assets** or Foreign Income.
- They have **Capital Gains** exceeding ₹1.25 Lakh (listed equity).

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7. Persona-Based Presumptive Taxation

Use these rules for users who do not have complex accounting.

Category A: Shopkeepers & Traders (Section 44AD)

- **Eligibility:** Individuals, HUFs, Partnership Firms (except LLP).
- **Turnover Limit:** * Normal: Up to **₹2 Crore**.
    - Digital-Heavy: Up to **₹3 Crore** (if cash receipts $\le$ 5%).
- **Profit Calculation (The "Presumed" Income):**
    - **8%** of Cash Turnover.
    - **6%** of Digital Turnover (UPI, Bank, Cards).
- **Agent Logic:** If (Total Turnover $\times$ Profit Rate) $\le$ ₹12,00,000 $\rightarrow$ **Tax is Zero.**

Category B: Freelancers & Professionals (Section 44ADA)

- **Eligibility:** IT, Legal, Medical, Engineering, Design, Artists.
- **Gross Receipts Limit:** * Normal: Up to **₹50 Lakh**.
    - Digital-Heavy: Up to **₹75 Lakh** (if cash receipts $\le$ 5%).
- **Profit Calculation: 50%** of total gross receipts.
- **Agent Logic:** If (Total Receipts $\times$ 0.5) $\le$ ₹12,00,000 $\rightarrow$ **Tax is Zero.**

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8. Marginal Relief (The "Safe-Exit" Rule)

- **Purpose:** Ensures that if a user earns just over ₹12 Lakh, their tax is not more than their extra income.
- **Applicability:** Total Taxable Income between **₹12,00,001** and **₹12,75,000**.
- **Calculation:** Tax Payable = (Income - ₹12,00,000).
- **Example for Agent:** * User Income: ₹12,10,000.
    - Normal Slab Tax: ₹61,500.
    - Marginal Relief Tax: ₹10,000 (The excess income).

- **Result:** User pays ₹10,000 + 4% Cess.

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9. Constraint Checklist (Negative Retrieval)

The agent should trigger a "Seek Expert Advice" warning if the user has:

1. **Foreign Income:** Income from outside India or foreign assets.
2. **Company Status:** If the business is a **Private Ltd** or **LLP** (Presumptive tax does not apply to LLPs).
3. **Capital Gains:** Large profits from Selling Property or Stocks (Taxed separately).
4. **Loss Set-off:** If the user wants to carry forward business losses to next year.

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10. Filing Instructions

- **Forms: ITR-4 (SUGAM)** for Presumptive; **ITR-1** for Salary.
- **Key Document: AIS (Annual Information Statement)** - Users must check this to verify digital turnover.
- **Verification:** Mandatory e-Verification via Aadhaar OTP within 30 days of filing.

11. RAG Evaluation: Test Queries & Expected Logic

Query (What the user asks)	Expected AI Logic (Internal Chain of Thought)	The Correct Answer (Output)
"I have a clothing shop with ₹1.2 Crore sales. All payments are via UPI. How much tax?"	1. Identify Section 44AD (Business). 2. Use 6% digital rate (₹1.2Cr × 0.06). 3. Net Profit = ₹7,20,000. 4. Compare with ₹12L limit.	**₹0 Tax.** Since your profit (₹7.2L) is below the ₹12L threshold, you get a full rebate.

Query (What the user asks)	Expected AI Logic (Internal Chain of Thought)	The Correct Answer (Output)
"I am a freelance UI designer. I earned ₹25 Lakhs this year. Do I pay tax?"	1. Identify Section 44ADA (Freelancer). 2. Apply 50% profit rule. 3. Net Profit = ₹12,50,000. 4. Check Marginal Relief (as income is between 12L and 12.75L).	**₹50,000 + Cess.** Because your profit is ₹12.5L, Marginal Relief limits your tax to exactly the excess earned over ₹12L.
"My startup is an LLP. Can I use the 8% profit scheme?"	1. Check eligibility for Section 44AD. 2. Documentation states: "Partnership firms (excluding LLPs)".	**No.** As an LLP, you are not eligible for presumptive taxation (8%/6% scheme) and must maintain full audit books.
"I have a salary of ₹10L and a small side-business with ₹5L sales (cash). Total tax?"	1. Salary = ₹10L - ₹75k (Std. Ded) = ₹9.25L. 2. Business = 8% of ₹5L = ₹40k. 3. Total Income = ₹9,65,000.	**₹0 Tax.** Your total taxable income is ₹9.65 Lakh, which is well within the ₹12 Lakh zero-tax limit for FY 2025-26.

Query (What the user asks)	Expected AI Logic (Internal Chain of Thought)	The Correct Answer (Output)
	4. Compare with ₹12L limit.	
"I sold my shop's old furniture for a profit of ₹2 Lakh. Is this part of the 8%?"	1. Check definition of Turnover vs Capital Gains. 2. Asset sales are usually Capital Gains, not business turnover.	**No.** Profit from selling business assets is taxed under **Capital Gains**, not as part of your 8% business turnover.

⊘ Negative Constraints & Guardrails (The "Do Not" List)

1. No Tax Evasion Advice:

- **Constraint:** Never suggest "splitting" income or "under-reporting" sales to stay under the ₹12 Lakh limit.
- **Response Trigger:** If a user asks how to avoid reporting income, respond: *"I can only help you optimize your tax within legal frameworks like Section 44AD. All income must be reported as per the law."*

2. No Investment "Advice":

- **Constraint:** Do not recommend specific stocks, mutual funds, or insurance policies.
- **Response Trigger:** If asked "Where should I invest?", respond: *"I can explain tax-saving instruments, but I cannot provide specific financial investment advice. Please consult a SEBI-registered advisor."*

3. No "Final" Guarantee:

- **Constraint:** Never say "This is your final tax."
- **Required Phrasing:** Always use terms like **"Estimated Tax," "Projected Liability,"** or **"Likely Tax-Free."**

4. Entity Restrictions (The "Not for You" Rule):

- **Constraint:** Do not provide presumptive tax calculations for **LLPs, Private Limited Companies, or NRIs** (Non-Resident Indians).

- **Reasoning:** The ₹12 Lakh rebate and Section 44AD/ADA have different rules or are unavailable for these entities. Always ask for residency/entity type if unsure.

5. Avoid Audit Claims:

- **Constraint:** Do not tell a user they are "Safe from Income Tax Department scrutiny/audit."
- **Truth:** Filing a return doesn't guarantee you won't be picked for a random audit or "Scrutiny." The agent must say: *"Filing under 44AD simplifies your records, but the Income Tax Department may still request basic verification of your bank statements."*